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Winding Tree

The Three Essential Components of a Digital Ecosystem



Pedro Anderson · Following

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Identity has always been a central part of the blockchain. Whether it's by eliminating IDs in anonymized transactions or verifying IDs with supply chain tracking, how identity is handled is a key part of blockchain tech.

It's the concept of "trust but verify," where trust is built through a consistent and standard process of verification. This concept is what led us to develop ORG ID, our open-source ID system that's the future of business identity. It's a global business registry that operates autonomously, so businesses can verify each other and build trust in a trustless network to streamline business relationships, such as API access.

In a recent interview on BLOCK TV, our CEO Maksim Izmaylov joined Kleros CEO Frederico Ast for a wide-ranging discussion around identity, trust and disputes in digital ecosystems. The conversation stemmed from Winding Tree's partnership with Kleros to provide its decentralized arbitration system to resolve disputes within the ORG ID ecosystem.

Arbitration is just one of three essential components of a B2B digital ecosystem seeking widespread adoption with business users: it's also about trust/traceability and verification. With these three components, a digital ecosystem is much more likely to succeed in attracting commercial entities that require a more structured environment. Here's more on these three key concepts from our interview with BLOCKTV,

#1: Digital ecosystems need trust and traceability

Trust and traceability are two key components for successful digital ecosystems. First, you need trust — and that's not just between participants but also in the entity and/or technology underpinning the ecosystem itself.

The best example of this is the global trust crisis — only 20% of the global public expresses “trust in the system,” emphasizing the outsized opportunities for new digital ecosystems.

In the BLOCKTV interview, Kleros' Frederico Ast called out an example from his experience as an Argentinian:

A couple of years ago, if you wanted to register your company to make business, and you were opposing the government, you had a high risk that the government would reject your request. That was a way that the governments sought to control the opposition. ORG ID seeks to break this censorship.

That's where ORG ID comes in: it's a global decentralized business registry. ORG ID is analogous to government-maintained registries, except that it doesn't rely on a central party. It's open-source and run by a non-profit foundation. That also means that it can work fluidly across borders, without bureaucracy.

Other ecosystems (especially those without a central authority) may not necessarily need full-on trust — but at the very least require traceability. That way, even if two participants do not know each other and have no reason to trust each other, there's a traceable trail of actions that can provide some level of transparency.

Traceability builds trust in digital ecosystems.

Even so, traceability on its own won't usually provide a sufficient level of trust to enable commercial adoption. That's where our next two components, verification and arbitration come in.

#2: Digital ecosystems need verification

In commercial applications, especially those between businesses, trust only comes from effective and reliable verification. Without a mechanism for verifying that entities are who they say they are, as well as whether an entity is reputable, participants have no reason to trust each other. And the ecosystem will struggle to gain traction because businesses won't want to do business on the platform.

Verification becomes a critical piece of reducing friction and building trust, as WindingTree CEO Maksim Izmaylov explained:

Our goal is to streamline the Know Your Business procedures. We were inspired by the lack of interoperability in the travel space, where entities have to verify each other; that the company they are working with is in good standing, that they can trust them. They need more than just a registry. A simple proof that an organization exists in a jurisdiction isn't always enough.

ORG ID exposes proof. Other companies can verify who you are in an automated manner so you can streamline the Know Your Business process, for things like API access. It streamlines verification.

The ORG ID verification system is two-fold: first, there's the standard verifications, such as the company's website, legal formation status, and social media handles. And then there will be a second level of verification, provided via partnership with Kleros, explained Maksim:

To achieve the ultimate verification status within the ORG ID platform, that's where Kleros comes in: anyone can verify the companies' claims. These are called "Challengers."

And those companies get a stamp of approval that real people have confirmed that that this organization exists, has good services, and all that. It's a human component on a blockchain that's still decentralized.

After Kleros Challengers analyze the claims and proofs submitted by the company, and find those claims to be accurate, verifiable and true, it will be accepted into the list.

Security is another major reason why verification matters. In today's interconnected world, with frequent data breaches and many malicious actors, security is a must for any digital ecosystem. Decentralized verification reduces the risk of fraudulent access to business systems. It automatically ensures that only vetted and verified entities gain access — all without manually verifying every entity.

Verification builds trust in the digital ecosystem.

#3: Digital ecosystems need arbitration

The third component of a commercially-viable digital ecosystem is arbitration, or a process to resolve disputes. Traditionally, disputes would be governed by contracts between entities and each country's legal system. Of course, this does not work for decentralized ecosystems without a centralized authority.

To give business entities the confidence to transact within a decentralized system, you need a new way to resolve disputes, said Kleros' Frederico:

This new global commerce infrastructure requires a new infrastructure for law. Kleros is trying to provide the arbitration tools for this to happen [...] for people to make agreements and contracts with people in other jurisdictions.

Kleros is a decentralized court that enables arbitration to resolve any disputes that arise from smart contracts created within the ORG ID ecosystem. Jurors are incentivized by the platform to participate honestly, so that anyone who abuses the system will lose money. Companies agree to abide by the decision, which is enforced by a smart contract. This makes for a smooth and seamless way to resolve disputes, all without involving expensive lawyers or extended timelines.

Arbitration builds trust in digital ecosystems.

Looking ahead: Trust and business identity

It's clear that trust greatly influences the success of digital ecosystems, especially those looking to gain widespread adoption from businesses. Along with effective dispute resolution through arbitration, a digital ecosystem that features rigorous verification and accurate traceability, will build trust and be well-positioned to gain traction with commercial entities.

ORG ID aims to build a trusted digital ecosystem for business identity globally. We've got lots of noteworthy developments to come throughout 2020, so be sure to sign up for an email newsletter below to stay up-to-date on the latest!

“Between Winding Tree and Kleros, there are some powerful tools being created here that take the power out of the few and into the hands of the many. This is a clear application of where blockchain can come remove some of the friction from that environment.”

-BLOCK TV



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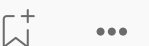


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